

MERCADOLIBRE, INC.

(NASDAQ: MELI)

Latin America's compounding machine: a great company at a demanding price

REDUCE — \$1,119.00 Target

Equity Research Note · Consumer Cyclical — Internet Retail / Fintech · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$1,119.00	\$1,696.56	-34.0%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$86.0 bn (50.7 m sh × \$1,696.56)	Gross / operating margin (FY25)	44.5% / 11.1%
52-week range	~\$1,495 – \$2,549	TTM P/E / forward P/E / PEG	46.2x / 30.9x / 0.95
Price / fair value	\$1,696.56 / \$1,119.00	Net debt	~\$7.5 bn
Implied downside	–34.0%	Sell-side view	Average target ~\$2,272 (25 analysts; range \$1,750–\$2,800)
TTM revenue / net income	\$35.2 bn / \$1.86 bn	Next catalyst	Q3 2026 print (early November) — the test of the reinvestment thesis

1 Investment Thesis

MercadoLibre is the highest-quality compounder we cover in emerging markets: 30 consecutive quarters of above-30% revenue growth, roughly 40% share of Brazilian e-commerce, a fintech (Mercado Pago) that crossed \$100 billion of quarterly payment volume, a credit book growing 75% a year at a 21% net interest margin after losses, and an advertising business up 73% that just crossed 10% of Latin American digital ad spend. The stock is down 31% over twelve months — and yet, on our numbers, the rerating case is not yet there.

We rate the shares REDUCE with fair value at \$1,119: bear \$116.16, base \$1,106.57, bull \$2,146.62, weighted 25/50/25. The business thesis is untouched — this is purely the cost of Latin American capital being repriced. The valuation applies an explicit +200bp Latin America country-risk premium to every scenario discount rate — ARS hyperinflation history, BRL volatility, Brazil tax reform, Mexico policy shifts; MercadoLibre bills and collects in local currency, a partial natural hedge, so the premium sits below the 250bp applied to China — taking rates to 16.5% / 14.0% / 12.5%. The premium is the entire verdict: without it, the same operating projections are worth far more; with it, the \$1,696.56 price embeds roughly 18% ten-year growth with no margin of safety, and at a 14% base discount that growth is worth \$1,107, not \$1,697.

The bull (\$2,146.62) still clears the price — so this is REDUCE, not SELL: own less of it, do not own none of it. Thirty quarters above 30% growth, a fintech flywheel where payments data drives superior underwriting drives credit drives engagement, and an ads business that is the highest-margin incremental dollar in the company — this is arguably the best emerging-markets compounder in public markets, and a core EM-growth holding for patient capital. But 47x trailing earnings leaves no room for execution slips: FX shocks, credit-loss spikes, or Amazon/Shopee/Temu share pressure would all hit a multiple that assumes near-perfect execution. High risk reflects EM FX, a \$16B+ credit book growing fast into a stressed Brazilian consumer (Selic 14%), Argentina macro, and regulatory overhang. Reduce into strength; accumulate only on weakness toward base-case DCF territory around \$1,106.

Why the market will care (eventually)

- **This is a capital-cost call, not a business call.** Nothing in the operating projections moved — only the discount rate. The disagreement with the Street (average target ~\$2,272) is stated plainly: the Street prices Latin American capital at US rates; we charge an explicit 200bp for ARS hyperinflation history, BRL volatility, and regional policy risk.
- **The margin compression is investment, not decay.** Q2 2026 operating margin fell 550bps YoY to 6.7% on free-shipping expansion, credit-card rollout, 1P selection, cross-border, and MELI+. Management says margin would be 5–6 points higher without these outlays — we haircut that claim to roughly half and model it as deferred earnings, not eroded unit economics.
- **The credit book is the tripwire.** \$16B+ growing 75% into a stressed Brazilian consumer, NPLs near historic lows today, provisions already doubling YoY in Q1 2026. A regional downturn hits earnings twice: higher losses and slower payment volume. Selic at 14% is the number to watch.

2 Business Overview — What MercadoLibre Is Doing

(Montevideo, Uruguay; CEO Marcos Galperin)

MercadoLibre is the dominant Latin American e-commerce and fintech ecosystem: roughly 40% of Brazilian retail e-commerce and co-leader in Mexico, in markets where e-commerce penetration is still low-double-digits versus ~16% in the US. Mexico is the fastest-growing online retail market in the world (+20% in 2024). The commerce marketplace, logistics network (Mercado Envios), and fintech stack form a single flywheel: marketplace frequency drives ad and credit monetization, and fintech users transact at ~+90% payment volume per user versus fintech-only cohorts.

Mercado Pago is a second engine that is no longer an accessory: 43% of revenue (\$4.4B in Q2 2026), \$101B of quarterly total payment volume (+56% in USD, the first \$100B+ quarter) on 5.2 billion transactions — and most of that volume is off-platform (wallet, QR, bill pay, transfers). It is an independent financial-services business with its own flywheel: payments data → superior underwriting → credit → engagement → more data. The credit portfolio is expanding fast at a 21% net interest margin after losses (recovered from 18%), with cards near historic lows.

Advertising is the purest margin-accretive line: +73% growth, above 10% of Latin American digital ad spend, auction-priced — the highest-margin incremental dollar in the company, just getting started. MELI+ (the loyalty/subscription bundle) is early-stage but strategically load-bearing as the retention layer.

What the company is doing now

- **Commerce: share leader in under-penetrated markets.** ~40% of Brazil e-commerce; co-leader in Mexico (85% combined seller share with Amazon). Low-double-digits online penetration is the multi-year runway.
- **Fintech: the independent second engine.** Mercado Pago at 43% of revenue, \$101B quarterly TPV mostly off-platform, acquiring TPV \$64B (+44%) with market-share gains — a payments business that would be a decacorn on its own.
- **Credit: the growth lever and the risk.** \$16B+ book, +75% YoY, 21% NIMAL. Underwriting edge from payments data is real; so is the cyclicity of lending into a stressed consumer at Selic 14%.
- **Ads: the margin kicker.** +73% growth at >10% of LatAm digital ad spend. Every incremental ad dollar carries minimal cost — the same high-margin compounder Amazon's ad business became, earlier in its curve.

3 Financial Analysis

	FY2022	FY2023	FY2024	FY2025	TTM
Revenue (\$bn)	10.78	15.11	20.78	28.89	35.18
YoY growth	—	+40.1%	+37.5%	+39.1%	+49.8%
Gross margin	—	—	—	44.5%	47.7%

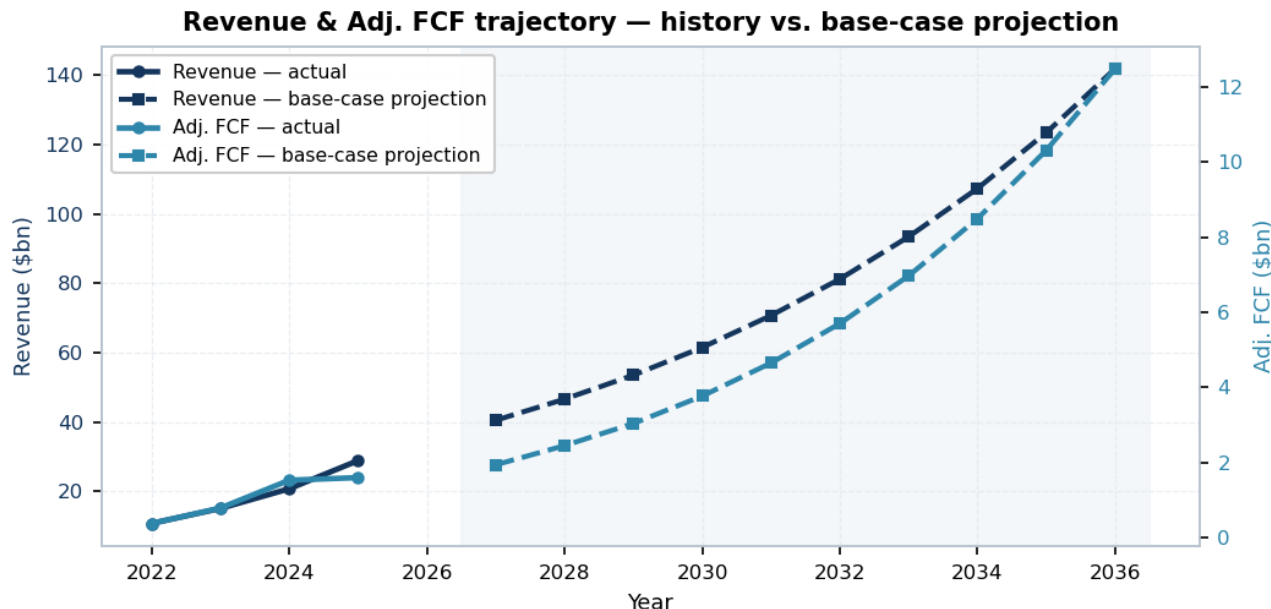
	FY2022	FY2023	FY2024	FY2025	TTM
Operating income (\$bn) / margin	1.07 / 9.9%	2.21 / 14.6%	2.63 / 12.7%	3.20 / 11.1%	— / 6.7%*
Net income (\$bn) / margin	0.48	0.99	1.91	2.00 / 6.9%	1.86
Diluted EPS	\$9.57	\$19.46	\$37.55	\$39.33	—
Adjusted FCF = 0.8× net income (\$bn)	0.38	0.79	1.53	1.60	—

Company Q2 2026 release, FY2025 10-K/filings. *Q2 2026 operating margin (–550bps YoY) on the strategic investment program. TTM = Q3'25–Q2'26. Reported FCF (~\$10.8B FY2025) includes the credit book; the valuation uses adjusted FCF (0.8× net income).

The financial profile is that of a hypergrowth compounder in a deliberate reinvestment cycle. Revenue grew 39% in FY2025 to \$28.9B and accelerated to +50% in Q2 2026 — the fastest in four years and the 30th straight quarter above 30%. Net income compounded at ~61% from 2022–25 (\$482M → \$2.0B). The Q2 2026 earnings miss on net income (EPS \$9.19, –10.9% YoY) is fully explained by the investment program: operating margin fell 550bps YoY while gross profit still grew strongly. Gross margin was 44.5% in FY2025 (47.7% TTM); operating margin compressed to 6.7% in the quarter.

We value owner earnings, not reported free cash flow: reported FCF (~\$10.8B in FY2025) is operating cash flow minus capex and includes the credit book — growing loans consume cash through operating cash flow, and shrinking them would release it. We therefore model adjusted free cash flow (the company's definition: \$1.48B in FY2025) as 0.8x net income, trending up as the credit book matures. Net debt is \$7.462B. Our DCF implies 19.8x forward EPS — well below the quote's 29.9x — and the reverse-DCF shows the \$1,696.56 price embeds ~18% ten-year revenue growth with no margin of safety.

Revenue & cash-flow trajectory



History: company filings via Yahoo Finance; 'Adj. FCF' = 0.8× net income (owner earnings — reported OCF–capex of ~\$10.8B in FY2025 includes the credit book and is not the valuation cash flow). Projection: base-case path — revenue at the scenario's 14.9% CAGR from the \$35.2B TTM base; net margins gliding 6.0% to 11.0%; adjusted FCF at 0.8× net income (year-10: \$12.5B).

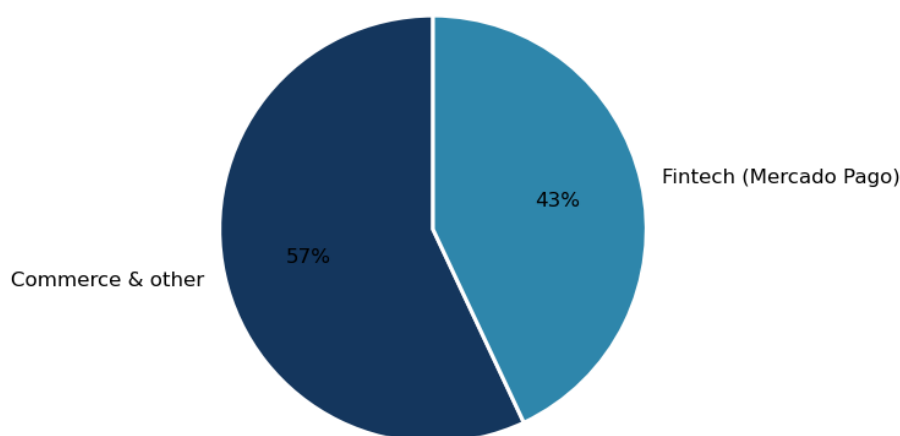
4 Moat & Competition

- **Two-sided network density in commerce.** ~40% of Brazilian e-commerce and co-leadership in Mexico create the liquidity — buyers and sellers — that regional rivals cannot replicate market by market.

- **Payments data → underwriting edge.** Mercado Pago's mostly off-platform volume generates proprietary transaction data that feeds superior credit underwriting — a data moat that compounds with every transaction and that pure lenders cannot buy.
- **Logistics as the defensive wall.** Mercado Envios' fulfillment density defends against Shopee/Temu on delivery speed and cost — the unglamorous moat that wins low-ticket share wars.
- **The moat's weak links: FX and the credit cycle.** Reports in USD, earns in BRL/ARS/MXN — Argentina is hyperinflationary-accounting with the peso near ~1,485/USD. And the \$16B+ credit book means the moat is levered to the Brazilian consumer. Neither is fixable by execution.

Revenue mix, Q2 2026 (fintech vs. commerce)

Revenue mix, Q2 2026 (fintech vs. commerce)



5 Valuation — 10-year scenario DCF with explicit LatAm country-risk premium, Fair Value \$1,119

We value MercadoLibre on a 10-year scenario DCF of owner earnings — adjusted free cash flow modeled as 0.8x net income, trending up as the credit book matures — weighted 25% / 50% / 25%. The defining judgment is the discount rate: a 14% base = 4.5% US risk-free + 1.44 beta × 5.5% equity risk premium + an explicit ~2% Latin America country-risk premium (ARS hyperinflation history, BRL volatility, Brazil tax reform, Mexico policy shifts; partial natural hedge via local-currency billing keeps it below the 250bp charged on China). Scenario rates: bear 16.5% (base + 250bp), bull 12.5% (base – 150bp, bull floor above 8% given the speculative EM tier).

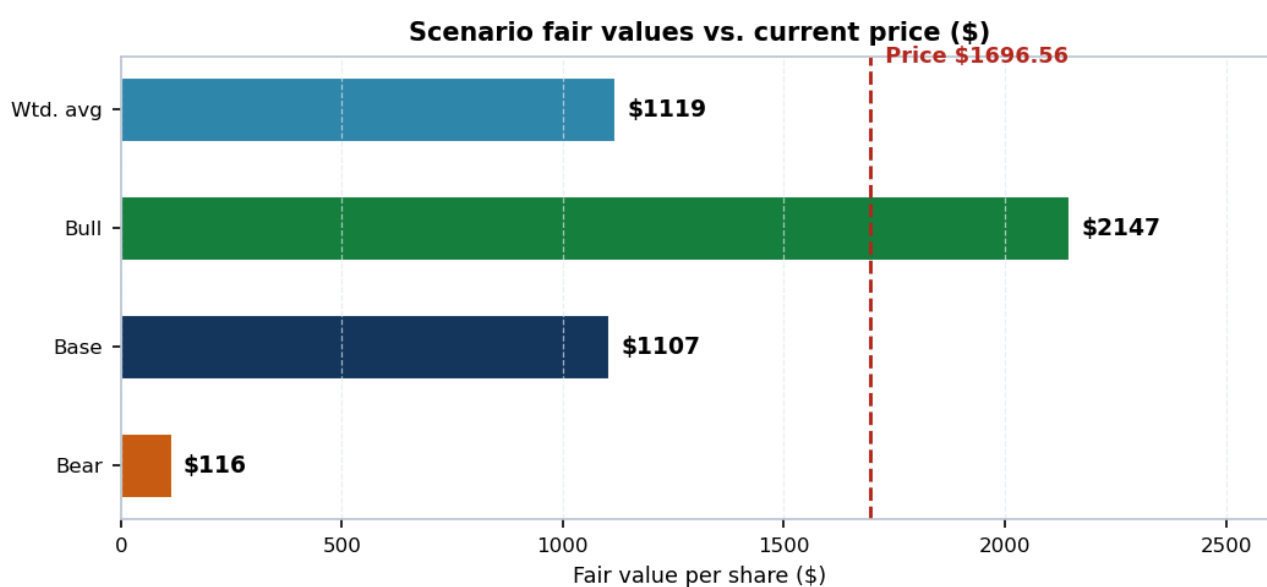
Terminal growth is 1.5% (bear) / 2.5% (base and bull), applied to year-10 free cash flow at normalized mid-cycle net margins (7.5% bear, 11% base, 12.5% bull) — not depressed 2026 levels — and the bear terminal is derated 27.6% to force the case to hurt. Net debt is \$7.462B. Scenario fair values: \$116.16 / \$1,106.57 / \$2,146.62, weighting to \$1,118.98 — our \$1,119 target, 34.0% below the \$1,696.56 close. Operating projections are unchanged from the US-anchored-rate model; the +200bp on every discount rate is the entire verdict change (bear \$161.85 → \$116.16; base \$1,442.45 → \$1,106.57; bull \$2,893.95 → \$2,146.62).

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	LatAm crisis: credit shock + FX drag; ARS/BRL devaluation through the margin path; credit-book stress; 3.0% revenue CAGR; 7.5% year-10 net margin; terminal derated 27.6%.	+3.0%	7.5%	16.5% / 1.5%	36%	\$116.16

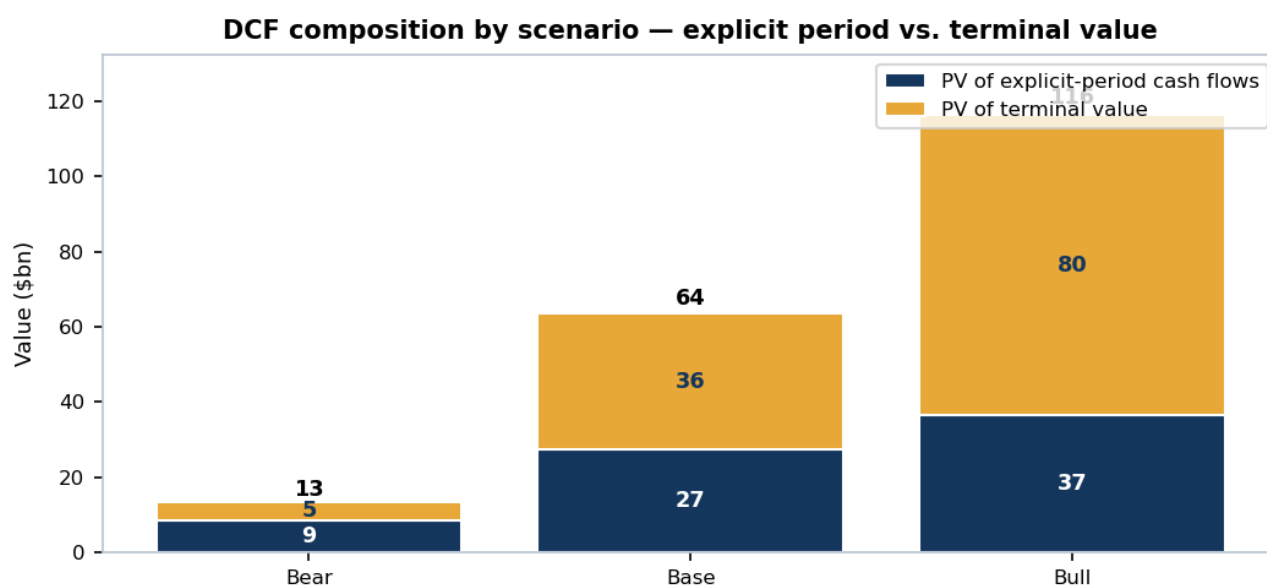
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Base	Consensus-trajectory growth with slower margin recovery; net margin glides ~6.0% → 11% over ten years (roughly half of management's claimed deferred margin); 14.9% revenue CAGR.	+14.9%	11.0%	14.0% / 2.5%	57%	\$1,106.57
Bull	Share gains + credit compounding + ads scaling; credit NIMAL holds above 20%; ads approach Amazon-like margins; FX cooperates; 19.1% revenue CAGR; 12.5% year-10 margin.	+19.1%	12.5%	12.5% / 2.5%	68%	\$2,146.62
Wtd. avg	Probability-weighted (25/50/25) → \$1,119.00 target					\$1,119.00

Composition PVs are derived from the note's disclosed terminal values, scenario discount rates, \$7.462B net debt, and scenario fair values ($EV = \text{equity} + \text{net debt}$; $PV \text{ of terminal value} = TV/(1+r)^{10}$); they sum to each scenario's enterprise value. The bear terminal is derated 27.6%.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **FX and translation (High).** Reports in USD, earns in BRL/ARS/MXN. Argentina is hyperinflationary-accounting; the peso sits near ~1,485/USD with ~17% further depreciation expected in 2026. BRL volatility is the largest single translation driver of reported growth.
- **Credit quality (High).** A \$16B+ book growing 75% into a stressed Brazilian consumer. NPLs near historic lows today (7.0% / 4.6% card) and NIMAL recovered to 21%, but provisions doubled YoY in Q1 2026 and neobank industry delinquency has nearly tripled since 2021.
- **Argentina macro (Medium-High).** Disinflation is real but poverty rose to 32.3% in H1 2026 and consumption is 'challenging' per management — a weak backdrop for both GMV and credit.
- **Regulatory (Medium-High).** BCB scrutiny of fintech lending; Pix ecosystem changes; Mexico's 2026 tax reform (already a GMV headwind); Brazil's cross-border import-tax regime in flux; COFECE antitrust overhang in Mexico.
- **Competition (Medium-High).** Amazon (deeper pockets, Prime, logistics build-out), Shopee (price), Temu/Shein (cross-border), Nubank (fintech). The -550bps Q2 2026 margin compression is partly the cost of this fight.
- **Valuation / multiple (Medium).** 47x trailing earnings and 31x forward leave no room for execution slips; the stock fell 31% in twelve months on far less than a thesis break.

What would change our mind

We would revisit the REDUCE — toward HOLD or BUY — on a pullback toward \$1,106 (base-case DCF territory, ~35% below the current price), or on Q3/Q4 2026 prints showing the reinvestment cycle bending back toward margin expansion without growth deceleration — evidence the 5–6 points of 'deferred' operating margin are real and recoverable — or on Latin American macro stabilization (Selic easing, BRL strength) that would argue the 200bp country-risk premium is too punitive. We would cut to SELL if NPLs inflect upward with provisions accelerating, on Brazil import-tax or Pix-regulation shocks to the take rate, or on sustained share loss to Amazon/Shopee in Brazil/Mexico. We watch: the Q3 print's margin trajectory, NPL and provision trends, Selic and BRL moves, and the credit book's growth versus NIMAL.

7 Methodology

We value MercadoLibre on a 10-year scenario discounted-cash-flow framework built on owner earnings — adjusted free cash flow modeled as 0.8x net income, trending up as the credit book matures — because reported free cash flow includes the credit book (growing loans consume cash through operating cash flow). Scenarios are probability-weighted 25% / 50% / 25% with scenario-specific discount rates.

The discount rate carries an explicit Latin America country-risk premium of 200 basis points on every scenario: 14% base = 4.5% US risk-free + 1.44 beta × 5.5% equity risk premium + ~2% LatAm premium (ARS hyperinflation history, BRL volatility, Brazil tax reform, Mexico policy shifts; local-currency billing is a partial natural hedge, so the premium sits below China's 250bp). Bear 16.5% (base + 250bp); bull 12.5% (base – 150bp, floored above 8% for the speculative EM tier). Terminal growth is 1.5%/2.5%/2.5% on year-10 free cash flow at normalized mid-cycle net margins — never depressed 2026 levels — and the bear terminal is derated 27.6% to force the case to hurt.

Management's claim of 5–6 points of 'deferred' operating margin is haircut to roughly half in our margin path; we never anchor to guidance (MELI issues none — scenarios are calibrated to third-party consensus). Regional fintech comps are disclosed as a cross-check but rejected as the wrong peer set (pure fintech, not commerce+fintech+logistics+credit). The published target is the probability-weighted fair value, stated as a 12-month horizon reference. Risk ratings combine business volatility, balance-sheet strength, and valuation; High here reflects EM FX, credit-book, and regulatory risk.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.